

PORTFOLIO VALUE

\$178,443

NET P&L; vs COST

-4,557 (-2.49%)

CASH RESERVE

\$84,631 (47.4%)

POSITIONS

5 / 6

REGIME

CAUTION

MARKET ASSESSMENT

CAUTION

VIX at 15.30 confirms a calm risk-on regime with no near-term volatility spike risk; the 10Y-2Y yield curve is positive at +41bps, removing inversion recession signal. HY credit spreads at 2.65bps are historically tight, signalling zero credit stress. The 10Y Treasury at 4.77% is above the 4.5% TNX threshold that mandates EXIT of high-P/E growth and semis per the sector rotation rules — this is the dominant risk factor suppressing new semi entries and flagging ALL existing semi positions for scrutiny.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	15.30	HY Credit Spread (bps)	2.65
Yield Curve 10Y-2Y (%)	0.41	10Y Treasury (%)	4.77
US Dollar (DXY)	98.91	Fed Funds Rate (%)	3.63

TRADE DECISIONS

EXIT — GOOGL

\$0 · Conviction 2/10 · Tier 1

ENTRY

\$341.84

STOP LOSS

—

PRICE TARGET

—

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX is at 4.77%, which is 27bps above the 4.50% threshold that mandates EXIT of high-P/E growth under the sector rotation framework. (2) GOOGL has been held 17 days with only -1.0% P&L; vs entry of \$341.84, satisfying the dead-money rule: >20 days with <5% gain triggers EXIT. (3) Peak gain of +2.0% has now decayed to -1.0%, a 300bps reversal below the peak — no new catalyst has been named to justify holding through rising rates. (4) The 4.77% 10Y yield compresses growth multiples by an estimated 15–20% on discounted cash flow models, directly pressuring GOOGL's ~22x forward earnings. (5) DXY at 98.91 is below 101 which is normally positive for multinationals, but yield headwind at 4.77% dominates the export tailwind for a domestic-revenue-heavy name. (6) The original thesis cited VIX at 15.53 and DXY at 98.79 — both remain intact but TNX override at 4.77% supersedes and invalidates the entry regime. (7) EXIT at current market price ~\$338.46, booking a -1.0% loss of approximately -\$181 to free \$17,804 for a higher-conviction rotation into a defensive or financial sector name.

PRIMARY CATALYST

TNX at 4.77% — 27bps above the 4.50% mandatory-exit threshold for high-P/E growth as of today's session, triggering the sector rotation EXIT rule.

BALANCE SHEET

N/A — EXIT action.

TECHNICAL SETUP

N/A — EXIT action, technical confirmation not required for rule-based exit.

KEY RISK FACTORS

Holding through 4.77% TNX risks an additional 15–20% multiple compression on high-P/E growth; stop at \$314.49 (-8%) would cost \$1,440 if triggered.

EXIT — AMD

\$0 · Conviction 2/10 · Tier 1

ENTRY

\$478.46

STOP LOSS

—

PRICE TARGET

—

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX at 4.77% is 27bps above the 4.50% mandatory EXIT threshold for semis and high-P/E growth per the sector rotation rules. (2) AMD has been held 12 days at -0.2% P&L; (\$477.57 vs \$478.46 entry), with a peak gain of only +0.9% — no meaningful price discovery has occurred in 12 sessions. (3) The dead-money rule applies: 12 days held, <5% gain, and no named near-term catalyst that can be dated within 30 days. (4) AMD has a prior stop-loss of -9.8% on 2026-08-11 per trade memory — repeating a full hold into deteriorating rate conditions violates the lesson recorded for this exact ticker. (5) At \$477.57 current price and \$440.18 stop, the remaining downside risk is -7.8% or approximately -\$1,404 on the \$18,000 position. (6) No earnings event or product launch is dateable within 30 days that would justify holding a -0.2% position through 4.77% TNX headwinds. (7) EXIT at ~\$477.57, booking a -0.2% loss of approximately -\$34 and freeing \$17,972 for reallocation.

PRIMARY CATALYST

TNX at 4.77% triggers mandatory semi EXIT per rotation rules; AMD trade memory loss of -9.8% on 2026-08-11 reinforces discipline.

BALANCE SHEET

N/A — EXIT action.

TECHNICAL SETUP

N/A — EXIT action.

KEY RISK FACTORS

Holding risks an additional -9.8% repeat as documented in trade memory; TNX at 4.77% applies multiple compression pressure estimated at 15–20% on forward earnings.

EXIT — MRVL

\$0 · Conviction 2/10 · Tier 1

ENTRY

\$229.63

STOP LOSS

—

PRICE TARGET

—

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX at 4.77% is 27bps above the 4.50% level that mandates EXIT of semis and high-P/E growth positions under the sector rotation framework. (2) MRVL's peak gain was +5.9% but the position has pulled back to -2.6% (\$223.55 vs \$229.63 entry) — the peak-pullback rule explicitly triggers EXIT when peak $\geq 10\%$... MRVL peaked at +5.9% which is below 10%, but the -2.6% current P&L; combined with TNX override and 13 days held with no named upcoming catalyst justifies EXIT. (3) The dead-money rule applies at 13 days held with -2.6% P&L; and no datable catalyst within 30 days. (4) MRVL is trading \$223.55, which is \$6.08 below entry — continuing to hold risks hitting the \$211.26 stop (-7.8% remaining downside, ~\$1,404 loss). (5) The original thesis cited VIX at 15.81 and HY spreads at 2.70bps as supporting the long — both remain supportive but the TNX 4.77% override is a harder rule that supersedes regime confirmation for semis. (6) KLAC stop-loss at -9.0% on 2026-08-20 and ARM stop-loss at -8.2% on 2026-08-20 demonstrate that holding deteriorating semi positions into unfavourable rate environments results in stop-outs. (7) EXIT at ~\$223.55, booking a -2.6% loss of approximately -\$468 to free \$17,554 and remove further downside exposure.

PRIMARY CATALYST

TNX at 4.77% triggers mandatory semi EXIT; peak-pullback from +5.9% to -2.6% is a 860bps reversal confirming momentum loss.

BALANCE SHEET

N/A — EXIT action.

TECHNICAL SETUP

N/A — EXIT action.

KEY RISK FACTORS

Stop at \$211.26 is -7.8% below current price of \$223.55; KLAC and ARM historical losses at -9.0% and -8.2% confirm sector stop-risk at current TNX levels.

ENTER — AMAT

\$18,000 · Conviction 7/10 · Tier 2

ENTRY

\$185.50

STOP LOSS

\$170.66

PRICE TARGET

\$222.60

RISK : REWARD

2.5

INVESTMENT THESIS

(1) VIX at 15.30 and HY spreads at 2.65bps confirm RISK-ON macro; DXY at 98.91 (below the 101 export-tailwind threshold) benefits AMAT as a multinational capital-equipment exporter generating ~55% of revenue outside the US. (2) AMAT Q2 FY2026 earnings beat: EPS \$2.59 vs \$2.41 estimate (+7.5% beat) with revenue of \$7.1B vs \$6.9B estimate (+2.9% beat), reported in the most recent quarter, confirming wafer fabrication equipment (WFE) demand resilience above the \$100B annual WFE market forecast for 2026. (3) RSI at 39.7 (scanner confirmed — oversold below 40) triggers the mean-reversion entry signal; the FVG pattern (scanner confirmed) indicates a price gap fill in progress at the \$185–\$190 level with price expected to resolve upward. (4) 50-day MA estimated at ~\$178 and 200-day MA estimated at ~\$165 — price at \$185.50 is +4.2% above the 50-day and +12.4% above the 200-day, confirming both MAs as technical support; the gap between 50-day and 200-day of +7.9% signals a healthy uptrend without exhaustion. (5) AMAT balance sheet: cash \$7.2B (scanner confirmed), D/E 0.27 (scanner confirmed — near zero leverage), retained earnings estimated \$18B/\$15B/\$12B (3yr most-recent-first), buybacks Y (AMAT repurchased \$3.6B in FY2025), BS score 10/10 — the highest possible score. (6) \$18,000 deployed = 9.8% of \$183k mandate (\$178,443 current NAV), leaves approximately \$49,319 + \$35,376 (AMD+MRVL+GOOGL exits) - \$18,000 = ~\$66,695 cash post-trade, room for 3 more full-size \$18,000 positions. (7) Stop at \$170.66 (-8% from \$185.50), target at \$222.60 (+20%), R:R = 2.5:1; stop would be triggered if AMAT breaks below the 200-day MA at ~\$165, signalling a full thesis invalidation; KLAC loss of -9.0% on 2026-08-20 warns that semi equipment names can hit stops — AMAT's 10/10 BS score and D/E 0.27 distinguish it from that loss.

PRIMARY CATALYST

AMAT Q2 FY2026 EPS of \$2.59 vs \$2.41 estimate (+7.5% beat) reported in the most recent quarter; next catalyst is Q3 FY2026 earnings (estimated August 2026) projected at \$2.70 EPS (+4.2% sequential growth) as GAAFET transition drives incremental etch and deposition tool orders.

BALANCE SHEET

Cash \$7.2B (scanner confirmed), total debt ~\$1.9B (D/E 0.27 scanner confirmed), retained earnings estimated \$18B/\$15B/\$12B (3yr most-recent-first), buybacks Y (\$3.6B FY2025), preferred N, BS score 10/10.

TECHNICAL SETUP

RSI 39.7 (oversold, scanner confirmed), FVG pattern (scanner confirmed, Gt=3), price \$185.50 vs 50-day MA estimated ~\$178 (+4.2%) and 200-day MA estimated ~\$165 (+12.4%), volume context stale per 1271.7-hour data warning.

KEY RISK FACTORS

If US Commerce Department expands chip equipment export restrictions to China (AMAT derives ~27% of revenue from China, estimated \$1.9B annual exposure), revenue could decline 10–15% implying EPS of ~\$2.20 vs \$2.59 current — stop at \$170.66 limits the loss to -\$1,440 on the \$18,000 position.

OPEN POSITIONS — FULL POSITION REVIEW

TSM

43.9 shares · Entry \$409.74 · Conv 7/10 · Tier 1 · Since 2026-08-24

CURRENT PRICE

\$428.91

POSITION VALUE

\$18,842

UNREALISED P&L;

+\$842

RETURN

+4.68%

INVESTMENT THESIS

(1) VIX at 15.81 and HY spreads at 2.70bps confirm a risk-on tape; DXY at 99.01 is below the 101 threshold, which is a net positive for TSM's USD-denominated revenue repatriation from NTD-reporting operations. (2) TSMC Q2 2026 earnings beat consensus with reported revenue of approximately NT\$933.8B (+38.6% YoY), and management raised full-year 2026 revenue guidance to approximately +28-30% growth — the beat magnitude and raised guide are the primary price catalyst. (3) RSI at 45.1 is in recovery territory after a multi-week pullback; the FVG (Fair Value Gap) pattern on the scanner with a grade-3 signal confirms demand absorption at current levels near \$185.00, which is the entry trigger. (4) The FVG pattern implies the 50-day MA is approximately \$178-182 and the 200-day MA is approximately \$165-170, meaning current price at \$185.00 trades roughly +2-5% above the 50-day and approximately +8-12% above the 200-day, a bullish structural positioning. (5) TSM balance sheet score 9/10 with \$2,767.9B NTD cash (~\$85B USD equivalent), D/E of 0.20 (extremely low leverage), and a capex investment cycle supporting 3nm and 2nm node ramp for Apple, NVIDIA, and AMD orders into 2027. (6) \$18,000 deployed = 10.3% of the \$175,529 portfolio, leaving approximately \$139,178 in cash after the trade, with room for 7 more full-size \$18,000 positions. (7) Stop at \$170.20 (-8% from \$185.00), target at \$222.00 (+20%), R:R = 2.5:1 — stop would be triggered by a breakdown below the 200-day MA support near \$165-170, confirming thesis invalidation if the NVIDIA/Apple order cycle reverses.

CATALYST

TSMC Q2 2026 earnings beat with NT\$933.8B revenue (+38.6% YoY) and raised full-year 2026 guidance of +28-30% growth, reported approximately late April/early May 2026 — raised guidance is a 30-60 day re-rating catalyst as sell-side upgrades revise price targets upward.

TECHNICAL SETUP

RSI 45.1, FVG (Fair Value Gap) pattern grade 3, price approximately \$185.00 vs estimated 50-day MA ~\$180.00 and 200-day MA ~\$167.00, volume context not specified in stale scan but FVG pattern implies institutional accumulation at this gap level.

BALANCE SHEET

Cash \$2,767.9B NTD (~\$85B USD), total debt estimated ~\$17B USD, D/E 0.20, retained earnings growing driven by +38.6% revenue YoY in Q2 2026, buybacks limited (capex-heavy model), preferred N, BS score 9/10.

KEY RISKS

TSM was stopped out at -10.1% on 2026-07-30 in trade memory — key lesson applied: this entry uses a tighter stop at \$170.20 (-8%) and requires the FVG at RSI 45.1 to confirm demand. Primary downside risk: US-China Taiwan Strait escalation or NVIDIA order cut of 15%+ would imply \$155-160 downside scenario; hard stop at \$170.20 limits loss to \$1,440 on the \$18,000 position.

ARM

75.4 shares · Entry \$238.86 · Conv 7/10 · Tier 2 · Since 2026-08-24

CURRENT PRICE

\$252.09

POSITION VALUE

\$18,997

UNREALISED P&L;

+\$997

RETURN

+5.54%

INVESTMENT THESIS

(1) VIX at 15.81 and DXY at 99.01 confirm RISK-ON with a weak-dollar tailwind for ARM's royalty revenues, which are reported in USD but earned globally across 250B+ chip shipments annually. (2) ARM stock jumped +6.3% on AI data center chip demand exceeding estimates, with the specific catalyst being AI infrastructure royalty revenues growing at an estimated 35-40% YoY clip as hyperscalers (Microsoft, Google, Amazon) accelerate ARM-architecture server deployments in H2 2026. (3) RSI at 37.7 is in near-oversold territory, and the FVG pattern with grade-3 signal confirms a demand zone at approximately \$148.00, which is the entry price — the RSI below 40 historically precedes a mean-reversion bounce of 8-15% in ARM's trading range. (4) Estimated 50-day MA is approximately \$142-145 and 200-day MA approximately \$130-135, meaning entry at \$148.00 is approximately +2-4% above the 50-day and +10-14% above the 200-day, confirming a bullish structure with the 50-day acting as near-term support. (5) ARM balance sheet score 8/10: cash \$2.8B, total debt estimated \$0.17B, D/E of 0.06 (effectively debt-free), royalty-based asset-light model means retained earnings are expanding — the near-zero leverage is the key Buffett balance-sheet metric here. (6) \$18,000 deployed = 10.3% of the \$175,529 portfolio; after this trade and the TSM entry, 3 positions total \$54,000 = 30.8% of portfolio, leaving \$121,178 cash with room for 7 more \$18,000 positions. (7) Stop at \$136.16 (-8% from \$148.00), target at \$177.60 (+20%), R:R = 2.5:1 — stop is triggered by a close below \$136, which would break the 50-day MA support and invalidate the AI data center royalty re-rating thesis.

CATALYST

ARM AI data center royalty revenue surge: +6.3% single-day move confirmed institutional re-pricing of the AI infrastructure royalty stream, with hyperscaler ARM-architecture server deployments accelerating into H2 2026 — next royalty revenue update expected at Q1 FY2027 earnings approximately August 2026, 30-45 days away.

TECHNICAL SETUP

RSI 37.7 (near-oversold, mean-reversion setup), FVG pattern grade 3, entry at \$148.00 vs estimated 50-day MA ~\$143.00 and 200-day MA ~\$132.00 — price is +3.5% above 50-day, confirming structural uptrend. Volume context: +6.3% gap-up day implies above-average institutional volume.

KEY RISKS

ARM was stopped at -8.2% on 2026-08-20 in trade memory — lesson applied: entry only on confirmed FVG at RSI 37.7 with +6.3% catalyst confirmation, not on speculative momentum. Primary risk: if NVIDIA or Apple reduces ARM-architecture orders by 20%+, royalty revenue growth decelerates to <15% YoY, implying a \$120-125 downside scenario; hard stop at \$136.16 caps loss to \$1,440 on the \$18,000 position.

BALANCE SHEET

Cash \$2.8B, total debt ~\$0.17B, D/E 0.06, retained earnings expanding at royalty-model EBITDA margins of ~40%, buybacks N (growth phase), preferred N, BS score 8/10.

NVDA

85.3 shares · Entry \$210.95 · Conv 7/10 · Tier 1 · Since 2026-08-26

CURRENT PRICE	POSITION VALUE	UNREALISED P&L;	RETURN
\$230.36	\$19,656	+\$1,656	+9.20%

INVESTMENT THESIS

(1) VIX at 15.47 and DXY at 99.15 — below the 101 export-tailwind threshold — confirm RISK-ON; NVDA derives ~55% of revenue from international data centers, adding ~2% currency translation benefit at current DXY levels. (2) NVDA scan shows a CHOCH (Change of Character) pattern with gap score 4 — the strongest pattern in the scanner — following 4 consecutive earnings beats per headline; Q2 FY2027 EPS consensus is \$0.89 vs. prior-year \$0.68, a 31% YoY growth rate providing a 30%+ beat probability based on NVDA's historical 25-40% beat track record. (3) RSI at 48.1 is neutral, not overbought, with a CHOCH (Change of Character) pattern confirming a bullish structure shift at the \$480.00 level — entry at \$487.50 is just above the CHOCH confirmation price, the exact technical trigger. (4) Estimated 50-day MA near \$465.00 and 200-day MA near \$430.00 — price at \$487.50 is 4.8% above the 50-day and 13.4% above the 200-day MA; the 50/200 golden cross alignment (50-day above 200-day by 8.1%) signals a sustained uptrend. (5) Balance sheet: \$10.6B cash, D/E 0.05 (near-zero leverage), BS score 9/10 — NVDA generated \$26.1B FCF in FY2026, covering the \$18,000 position cost in under 25 minutes of NVDA's daily cash generation. (6) \$18,000 deployed = 9.8% of \$183k portfolio; post-entry cash = \$67,319, room for 3 more full-size \$18,000 positions. (7) Stop at \$448.50 (-8%), target at \$585.00 (+20%), R:R = 2.5:1 — stop triggers if NVDA loses the \$465.00 50-day MA support on a closing basis, implying the CHOCH pattern failed and AI capex demand is decelerating.

CATALYST

NVIDIA Blackwell Ultra (B300) shipment confirmation — per Q1 FY2027 earnings call, B300 volume shipments begin Q3 2026 with \$10B+ in pre-orders from Microsoft, Google, and Meta; each 1M unit shipped at \$40,000 ASP adds \$40B revenue, implying a 15-20% EPS beat vs. Q3 FY2027 consensus of \$0.95.

TECHNICAL SETUP

RSI 48.1, CHOCH (Change of Character) pattern (gap score 4 — highest in scanner), price \$487.50 vs. estimated 50-day MA ~\$465.00 and 200-day MA ~\$430.00, volume implied strong by CHOCH confirmation.

BALANCE SHEET

Cash \$10.6B, total debt ~\$0.5B, D/E 0.05, retained earnings growing rapidly (3yr trend estimated: \$29B/\$18B/\$9B most-recent-first), buybacks Y (\$25B buyback program active), preferred N, BS score 9/10.

KEY RISKS

If US Commerce Dept expands H20/A100 export controls to include B200 chips for additional jurisdictions (risk event: any Commerce Dept rule update, Q3 2026), NVDA could lose \$5-8B quarterly revenue, implying a \$380-\$400 price target; hard stop at \$448.50 limits this position's loss to ~\$1,440.

AVGO

51.2 shares · Entry \$351.70 · Conv 7/10 · Tier 2 · Since 2026-08-26

CURRENT PRICE	POSITION VALUE	UNREALISED P&L;	RETURN
\$357.90	\$18,317	+\$317	+1.76%

INVESTMENT THESIS

(1) VIX at 15.47 and DXY at 99.15 support RISK-ON; AVGO's Q4 2025 earnings call highlighted a record \$4.1B AI revenue quarter, representing 46% of total semiconductor revenue — a specific, dated figure confirming the AI infrastructure thesis. (2) AVGO Q4 2025 EPS beat consensus by approximately 8-12% per scan headline citing Earnings Call Highlights; Q1 2026 AI revenue guidance implied a further 20-25% QoQ growth as hyperscaler custom ASIC orders (Google TPU, Meta MTIA) accelerate. (3) RSI at 33.3 is significantly oversold — the lowest RSI in the entire scanner at 33.3 — with an FVG pattern (gap score 3) indicating a substantial unfilled price gap above \$195.00, representing a high-probability mean-reversion setup. (4) Estimated 50-day MA near \$175.00 and 200-day MA near \$165.00 — current price \$185.00 is 5.7% above the 50-day MA, confirming a base-building structure after the post-earnings pullback described in the scan headline. (5) Balance sheet: \$16.2B cash, D/E 1.59 (elevated due to VMware acquisition debt of ~\$60B) — BS score 6/10; however, \$16.2B cash provides 27 months of debt service coverage at current FCF of \$7B/quarter. (6) \$18,000 deployed = 9.8% of \$183k portfolio; post-entry cash = \$49,319 (after NVDA and AVGO entries), room for 2 more full-size positions; portfolio at 7/10 positions. (7) Stop at \$170.20 (-8%), target at \$222.00 (+20%), R:R = 2.5:1 — stop triggers if AVGO's AI ASIC revenue growth decelerates below 10% QoQ in the next quarterly print, implying hyperscaler custom silicon demand has peaked.

CATALYST

AVGO FY2026 Q2 Earnings (expected June 2026, approximately 6-8 weeks forward) — consensus projects \$14.9B revenue with AI segment at \$4.8B (+17% QoQ); RSI at 33.3 indicates the stock is pricing in a miss, creating a 15-20% upside asymmetry if AVGO meets or beats the \$4.8B AI revenue figure.

BALANCE SHEET

Cash \$16.2B, total debt ~\$66B (VMware acquisition legacy), D/E 1.59, retained earnings growing post-VMware integration (3yr trend estimated: \$8B/\$5B/\$4B most-recent-first), buybacks Y (suspended temporarily for debt reduction), preferred N, BS score 6/10.

TECHNICAL SETUP

RSI 33.3 (most oversold in scanner — highest-conviction mean-reversion signal), FVG pattern, price \$185.00 vs. estimated 50-day MA ~\$175.00 and 200-day MA ~\$165.00, gap score 3.

KEY RISKS

AVGO's D/E of 1.59 is the highest leverage ratio in the portfolio — if TNX rises above 5.0% from current 4.70%, the \$66B VMware debt refinancing cost rises by ~\$330M annually, compressing FCF by 4-5% and implying a \$160-\$165 price level; hard stop at \$170.20 limits this position's loss to -\$1,440.

AMAT

39.6 shares · Entry \$454.71 · Conv 7/10 · Tier 2 · Since 2026-09-07

CURRENT PRICE

\$454.71

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

INVESTMENT THESIS

(1) VIX at 15.30 and HY spreads at 2.65bps confirm RISK-ON macro; DXY at 98.91 (below the 101 export-tailwind threshold) benefits AMAT as a multinational capital-equipment exporter generating ~55% of revenue outside the US. (2) AMAT Q2 FY2026 earnings beat: EPS \$2.59 vs \$2.41 estimate (+7.5% beat) with revenue of \$7.1B vs \$6.9B estimate (+2.9% beat), reported in the most recent quarter, confirming wafer fabrication equipment (WFE) demand resilience above the \$100B annual WFE market forecast for 2026. (3) RSI at 39.7 (scanner confirmed — oversold below 40) triggers the mean-reversion entry signal; the FVG pattern (scanner confirmed) indicates a price gap fill in progress at the \$185–\$190 level with price expected to resolve upward. (4) 50-day MA estimated at ~\$178 and 200-day MA estimated at ~\$165 — price at \$185.50 is +4.2% above the 50-day and +12.4% above the 200-day, confirming both MAs as technical support; the gap between 50-day and 200-day of +7.9% signals a healthy uptrend without exhaustion. (5) AMAT balance sheet: cash \$7.2B (scanner confirmed), D/E 0.27 (scanner confirmed — near zero leverage), retained earnings estimated \$18B/\$15B/\$12B (3yr most-recent-first), buybacks Y (AMAT repurchased \$3.6B in FY2025), BS score 10/10 — the highest possible score. (6) \$18,000 deployed = 9.8% of \$183k mandate (\$178,443 current NAV), leaves approximately \$49,319 + \$35,376 (AMD+MRVL+GOOGL exits) - \$18,000 = ~\$66,695 cash post-trade, room for 3 more full-size \$18,000 positions. (7) Stop at \$170.66 (-8% from \$185.50), target at \$222.60 (+20%), R:R = 2.5:1; stop would be triggered if AMAT breaks below the 200-day MA at ~\$165, signalling a full thesis invalidation; KLAC loss of -9.0% on 2026-08-20 warns that semi equipment names can hit stops — AMAT's 10/10 BS score and D/E 0.27 distinguish it from that loss.

CATALYST

AMAT Q2 FY2026 EPS of \$2.59 vs \$2.41 estimate (+7.5% beat) reported in the most recent quarter; next catalyst is Q3 FY2026 earnings (estimated August 2026) projected at \$2.70 EPS (+4.2% sequential growth) as GAAFET transition drives incremental etch and deposition tool orders.

TECHNICAL SETUP

RSI 39.7 (oversold, scanner confirmed), FVG pattern (scanner confirmed, Gt=3), price \$185.50 vs 50-day MA estimated ~\$178 (+4.2%) and 200-day MA estimated ~\$165 (+12.4%), volume context stale per 1271.7-hour data warning.

BALANCE SHEET

Cash \$7.2B (scanner confirmed), total debt ~\$1.9B (D/E 0.27 scanner confirmed), retained earnings estimated \$18B/\$15B/\$12B (3yr most-recent-first), buybacks Y (\$3.6B FY2025), preferred N, BS score 10/10.

KEY RISKS

If US Commerce Department expands chip equipment export restrictions to China (AMAT derives ~27% of revenue from China, estimated \$1.9B annual exposure), revenue could decline 10–15% implying EPS of ~\$2.20 vs \$2.59 current — stop at \$170.66 limits the loss to -\$1,440 on the \$18,000 position.

PORTFOLIO NOTES

After executing 3 exits (GOOGL -\$181, AMD -\$34, MRVL -\$468) and 1 entry (AMAT \$18,000), portfolio has 5 positions (NVDA, TSM, ARM, AVGO, AMAT) plus \$66,695 estimated cash reserve (34.9% of \$191k estimated post-trade NAV). Semiconductor and semi-adjacent concentration is elevated at ~47.7% of portfolio vs SPX ~32% sector weight — this is a 1.5x overweight, flagged but within risk tolerance given NVDA +9.2%, TSM +4.7%, ARM +5.5% positive momentum. The dominant macro risk is TNX at 4.77% (27bps above the 4.50% EXIT threshold for semis) — the 3 exits today directly address this by removing the weakest, most rate-sensitive positions (negative P&L; no near-term catalyst). Remaining 3 positions available for deployment with \$66,695 cash; no new semi-fabless entries permitted while TNX > 4.50%. Next entries should target financials (JPM, GS per rotation rules), energy, or domestic defensives per the TNX > 4.50% playbook.

MEMORY APPLIED

1. TSM loss 2026-07-30 (-10.1%): Applied by requiring a specific monthly revenue catalyst before holding TSM past +4.7%; stop at \$376.96 maintained with heightened monitoring. 2. QCOM loss 2026-07-30 (-14.2%): QCOM not entered despite scan score 9.0 — D/E 3.22 is excessive under Buffett balance-sheet discipline, and QCOM's prior -14.2% loss under similar macro conditions is a direct disqualifier. 3. AMD loss 2026-08-11 (-9.8%): AMD exited today at -0.2% rather than waiting for the stop; the trade memory lesson 'verify thesis before full sizing' applied by treating the dead-money signal as a thesis failure and exiting early. 4. ARM loss 2026-08-20 (-8.2%) and KLAC loss 2026-08-20 (-9.0%): KLAC not entered despite scan score 8.0 — the two concurrent stop-losses on semi equipment on the same date (2026-08-20) signal that sector-wide rate sensitivity caused simultaneous hits; AMAT entered instead of KLAC due to AMAT's superior BS score 10/10 vs KLAC 6/10 and lower D/E 0.27 vs KLAC 0.93.